

Separate Realities and Local Economies

Mistrust in Economic Reporting

Sylvan Zheng

Introduction

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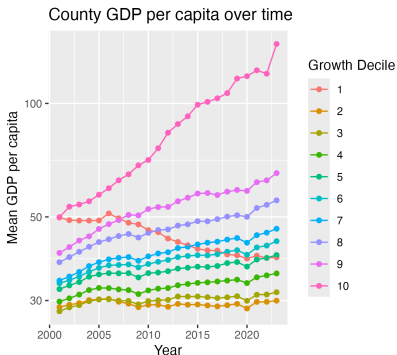
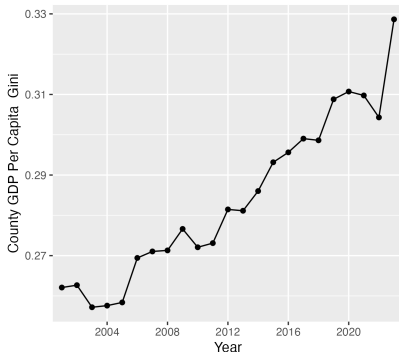
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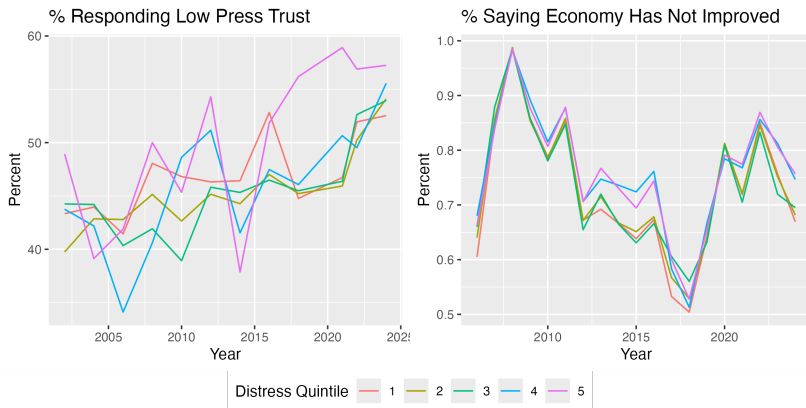
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Increasing Spatial Inequality



Data from the Bureau of Economic Analysis

Spatial Inequality, Trust, and Economic Perceptions



_____ *Data from the Distressed Communities Index and the General Social Survey*

Theory/Hypotheses

More places with a very different economy from the one in the news

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More places with a very different economy from the one in the news

- ▶ Divergent economic evaluations
- ▶ Mismatch between local conditions and press coverage
- ▶ Perception news media is not concerned with “people like me”
- ▶ Weakening trust in news media

Data

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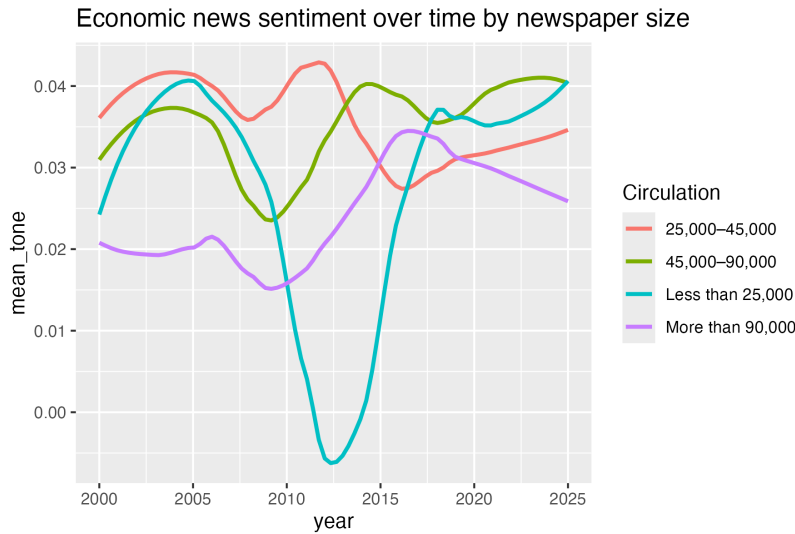
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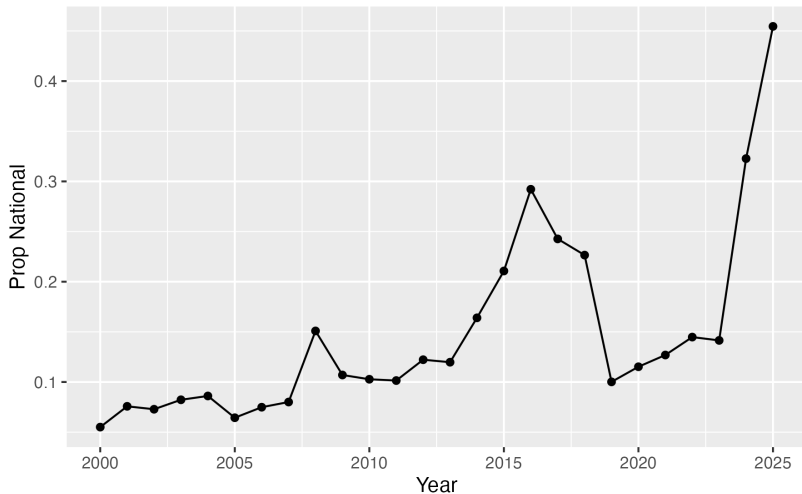
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- ▶ Labeled for **economic sentiment** (-1 to 1) using classical sentiment analysis (4)

Mean Tone over Time



Increasing Nationalization of News

Mean prevalence of national news among economic news articles



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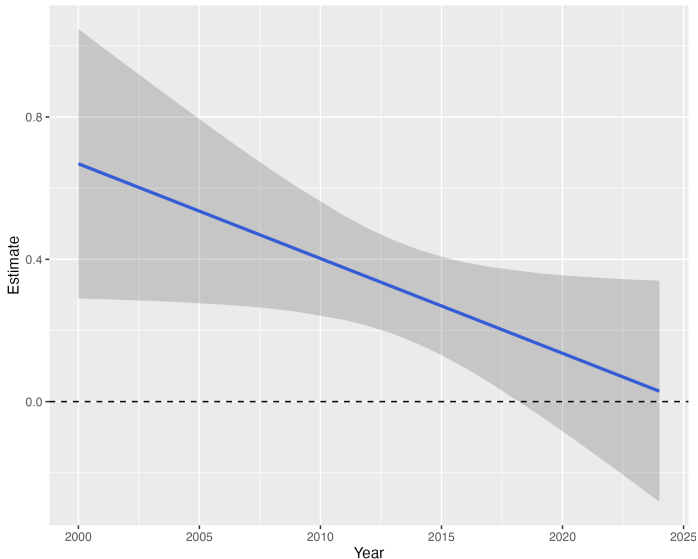
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- ▶ How do these relationships vary over time / for richer or poorer counties? (**interaction effects**)

Results

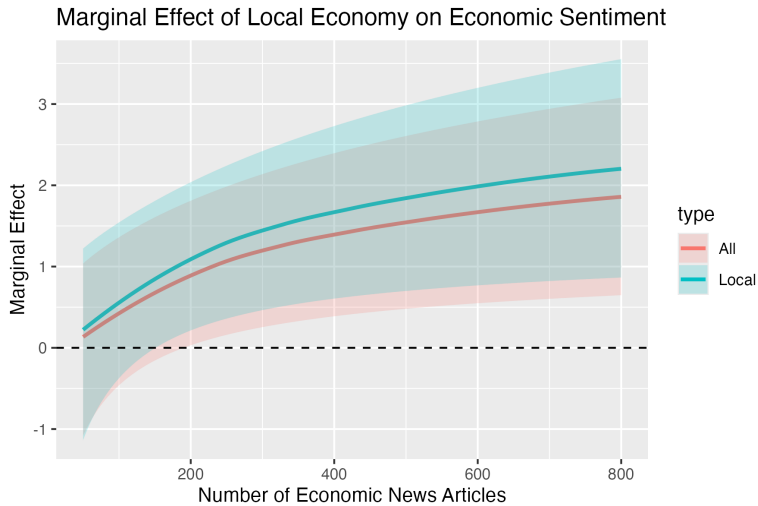
Local Conditions Affect Economic Sentiment

Marginal Effect of Local Economy on Economic Perceptions Over Time



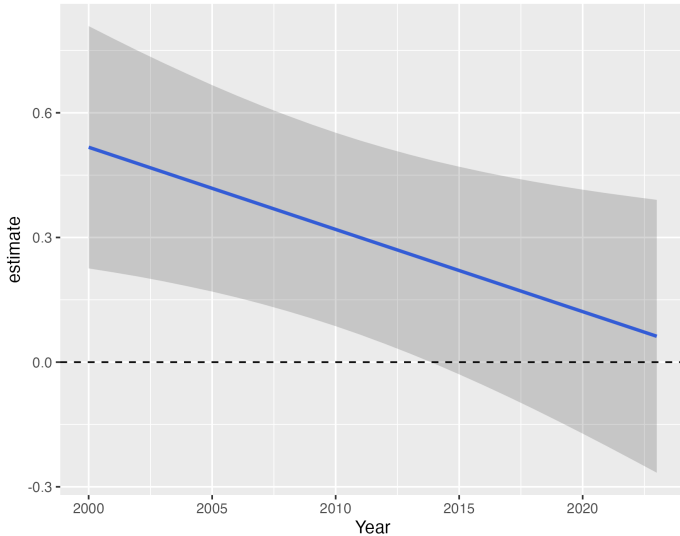
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Local Conditions Affect Economic Sentiment Via News Provision



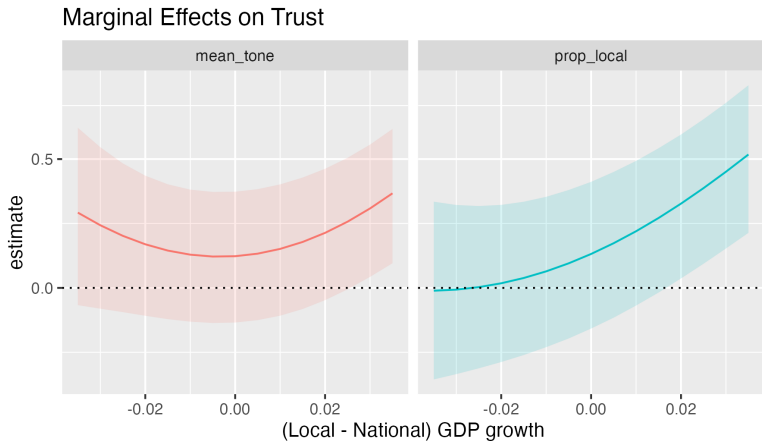
Local News Provision Increases Press Trust

Marginal effect of local news prevalence on trust over time



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Local News Provision Increases Trust More in Growing Counties



Effect heterogeneity modeled quadratically

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- ▶ Local news provision influences trust in the press
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- ▶ Local news provision and tone more strongly associated with trust for counties doing better than the national average

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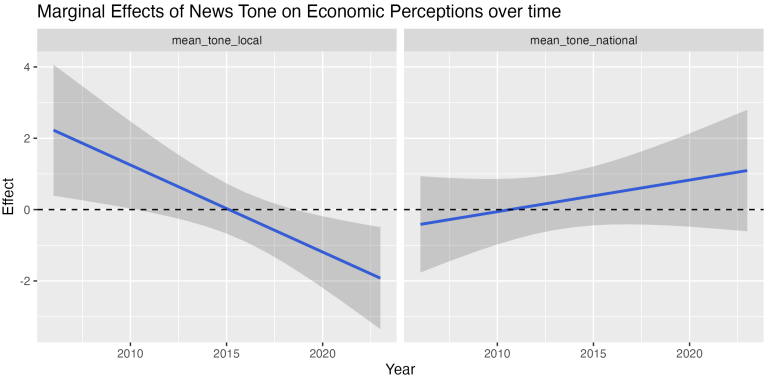
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- ▶ Sylvan Zheng (saz310@nyu.edu)

Local News Tone and Economic Sentiment



Local Conditions, News Provision, and Trust over Time

Marginal Effects on Trust By Decade

